health). Simultaneously, a strategy was laid out to exploit untapped niche markets.

Financially the deal, however, threw up its own challenges. Tata Tea's debt became a matter of concern. Though the stock market shook off any doubts, close to three years into the acquisition, after the euphoria of its boldness had ebbed, the investors grew nervous. The stakeholders feared that if 'debt levels [in Tetley]' continued to 'remain very high and unless Tetley [were] able to generate the cash flow to repay the debt, the company' would go on to 'face trouble'.

Tata Tea, on its part, was conscious that the deal was highly leveraged. It was a risk Ratan had taken, but he ring-fenced the debt within Tetley. It started with a debt-to-equity ratio of 3:1. Khusrokhan was, nevertheless, quite confident about reining it in. Towards the end of 2002, he said that in a matter of under two years, he would bring the ratio to 1:1. He also emphasized that in the meantime, a 'common culture and a virtual joint management structure' would be created. In close to three years, the ratio was brought down to about 1.7:1.

Ratan planned to integrate the two companies into a single operating company after the ratio stabilized at 1:1. He adopted this cautious approach to prevent taking more debt into the Tata Group's books. Ratan's aim was to transform Tata Tea into an FMCG major. He looked at opportunities in 'marketing edible oils, flour and Tata salt'. Plans were 'drawn up by the Tata Strategic Management Group to study the feasibility moves into this sector in a big way'. As Krishna Kumar told Rediff.com, 'We want to emerge as a food FMCG major and Tetley is the beginning of the process.'

Interestingly, as testimony to Ratan's foresight, Tata Tea was better equipped to withstand the influx of the competition thrown open by India's compliance with world trade agreements. Consequently, as India reduced 'the duty [on tea] to rates bound under WTO agreements' by 2002, 'the challenges faced by other Indian producers' were 'offset for Tata Tea by the gains by its global operations'.

The global financial crisis of 2008, however, slowed down Tata Tea's almost insatiable appetite for acquisitions. Ratan, however, continued to diversify Tata Tea's product basket. What had started as a simple tea business some forty-eight years ago was now a large diversified beverages business entity.